

Table 14.9 Busted Patterns

Description	Bull Market	Bear Market
Busted patterns count	128 or 12%	28 or 10%
Single bust count	76 or 59%	25 or 89%
Double bust count	41 or 32%	3 or 11%
Triple+ bust count	11 or 9%	0 or 0%
Performance for all busted patterns	−13%	−22%
Single busted performance	−19%	−25%
Non-busted performance	N/A	N/A

Busted patterns count. Comparatively few patterns bust because price after the breakout tends to keep going up.

Busted occurrence. I counted the types of busts: single, double, or three or more (triple+). Single busts happen most often followed by double and triple busts, in that order. This may sound odd, but sometimes triple+ busts happen more often than double busts.

Busted and non-busted performance. I don't have a non-busted BARR bottom with a downward breakout to compare to single and all-busted types. Single busted patterns outperform the combination of all three types of busts (including single busts).

Trading Tactics

Table 14.10 outlines trading tactics for BARR bottoms.

Measure rule. After properly identifying a BARR bottom, you will want to determine how profitable a trade is likely to be. You do that using the measure rule, but it's really a guideline, and it only tells how often price will climb to an arbitrary price.